

Problem Statement

Team PR · GKHack26 · Challenge: Brand New

South Africa's informal traders -- spaza shops, builders and other informal businesses -- run their business on phone calls, WhatsApp messages, cash and a notebook. A spaza owner restocks from a wholesaler and pays the driver in cash. A builder is paid by a client in stages, buys cement and bricks with the deposit, and finds a plumber or electrician by word of mouth. None of it leaves a record that both sides accept: suppliers can't reconcile the cash, clients dispute which stage was paid, a builder has no proof of finished work to win the next job, and no trader can prove the business is real.

The scale is large. The township economy is worth about R900 billion a year, R180 billion of it through spaza shops, yet about 80% of township businesses are unregistered, fewer than 9% can get a bank loan and 57% survive on personal savings (Standard Bank, 2025). Informal work is about a third of all jobs in South Africa, and Stats SA now defines an informal business partly by whether it keeps records at all. When government opened a R500 million Spaza Shop Support Fund, only R179.6 million had reached 2,369 shops by May 2026: 354 applications failed verification (non-existent businesses, ownership mismatches) and only 58% of applicants held a valid licence (DSBD, 2026). Real traders can't prove themselves, and fake ones slip in. Builders face the same gap on site: construction employs about 1.2 million people and 38% of them work informally, likely more (ILO, 2025); backyard dwellings, the fastest-growing kind of informal rental housing, already house at least 13.4% of urban households (up from 8.9% in 2011); and late or non-payment is chronic even in formal construction, where builders at least have contracts.

1. Who

- **Spaza shop owners:** the largest group (trade is 48.2% of informal businesses), and the wholesalers who supply them.
- **Informal builders and trades:** general builders, plumbers, electricians, painters and tilers who build and fix homes in townships, the clients who pay them in stages, and the hardware stores they buy from.
- **Other informal businesses** that buy stock or sell on credit.

2. What

Business runs on calls, WhatsApp, cash and a notebook, with no record both sides accept.

- **Spaza shops:** orders and cash handed to drivers can't be confirmed by both sides; wholesalers can't reconcile what drivers collect; credit given to customers lives in a book that gets lost or disputed.
- **Builders:** clients pay in stages in cash and later dispute what was paid; extra work agreed by mouth goes unpaid; materials are bought without knowing what the job needs; finding a trusted plumber or electrician depends on word of mouth; finished work leaves no proof for the next client.
- **All of them:** nothing proves the business trades, so it can't reach credit, support funds or better supplier terms.

3. Where

Across all nine provinces: in townships, informal settlements, rural villages and small towns -- at the spaza counter, on building sites and in clients' homes and backyards, on the phone and WhatsApp, and at the door when stock, work and cash change hands.

4. Why it matters at scale

- R900 billion township economy; R180 billion through spaza shops.
- About a third of South Africa's jobs are informal (half for people aged 15-24).
- About 80% of township businesses are unregistered; fewer than 9% can get a bank loan; 57% are self-funded.

- Even funded help can't reach them: R179.6 million of a R500 million fund deployed, because verification fails in both directions.
- Builders: about 1.2 million people work in construction and 38% of them informally (roughly 450,000 people), likely more, and construction is growing within informal business. Yet a builder's stage payments, extra work and finished jobs leave no record, and late and non-payment is chronic even in formal construction.

5. Evidence

- **Standard Bank, Township Informal Economy Report 2025:** R900bn economy; spaza about R180bn; ~80% unregistered; <9% bank loans; 57% self-funded; 49% operate from a home or garage; >56% prefer EFT (ready for digital payment).
- **Stats SA:** trade is 48.2% of informal businesses (2023, down from ~70% in 2001) as construction and services grow; informal jobs are about a third of employment; from Q3 2025 an informal business is defined partly by whether it keeps records for tax purposes.
- **DSBD and dtic, May 2026:** R179.6m approved for 2,369 shops from the R500m Spaza Shop Support Fund; 354 applications failed verification (non-existent businesses, ownership discrepancies, applicant vs operator mismatches); only 58% linked to a valid licence or permit.
- **ILO, market systems analysis of the construction sector in South Africa (February 2025):** construction employs about 1.2 million people (7.8% of all employment); 62% work formally and 38% informally, "although it is likely that the number of informal workers is higher"; most firms are micro and small businesses working as subcontractors.
- **Scheba & Turok, Environment and Urbanization (2020):** backyard dwellings are the fastest-growing kind of informal rental housing; at least 13.4% of urban households lived in backyards by 2016, up from 8.9% in 2011.
- **Stats SA, Quarterly Labour Force Survey Q4 2025:** construction added 35,000 jobs between Q3 and Q4 2025 (formal and informal together).
- **Construction payment studies (formal sector, South Africa):** 89% of surveyed practitioners agree (63%) or strongly agree (26%) that late and non-payment is chronic.

Sources

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